CASCADIA ANALYTICS

Digital Realty Trust, Inc.

Equity Research Note | DLR | 23
OCTOBER 2026

Scarcity Premium Is Real

Digital Realty Trust screens as a Buy with a $179.32 blended target, 4% above the current price.

Analyst: Justin Wen

REFERENCE PRICE	BLENDED TARGET	BLENDED UPSIDE	
$172.08	$179.32	+4%	BUY

Investment Thesis

Scarcity Premium Is Real. Cash renewal spreads hit a record 25.4% in Q2 and the backlog grew 75% year-to-date to $1.9B. Constrained new supply lets DLR reprice existing powered capacity at materially higher rents [Company 2Q26]. Visible Double-Digit Growth. Core FFO per share guided to $8.15-8.20, a second straight year of double-digit growth, with the backlog at ~30% of in-place rent supporting management's confidence into 2027 [Company 2Q26]. Fair Price, Not a Bargain. Our DCF base case of $179.01 sits about 6%

- Scarcity Premium Is Real
- Visible Double-Digit Growth
- Fair Price, Not a Bargain

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The latest print

Visible Double-Digit Growth. Core FFO per share guided to $8.15-8.20, a second straight year of double-digit growth, with the backlog at ~30% of in-place rent supporting management's confidence into 2027.

Fair Price, Not a Bargain. Our DCF base case of $179.01 sits about 6% above the $172.08 spot price, leaving only a thin margin of safety. The 22x core FFO multiple already prices in the growth story.

$6.85-6.95B	$8.15-8.20	$1.9B / $1.4B share	+25.4%	~55%	4.7x
REVENUE (2026E GUIDANCE)	CORE FFO/ SHARE (2026E, EX PROMOTE)	SIGNED BACKLOG (RECORD)	CASH RENEWAL SPREADS (Q2)	ADJ. EBITDA MARGIN (2026E)	NET DEBT / ADJ. EBITDA

Key metrics in detail

METRIC	LATEST	VS YEAR AGO	TREND
Revenue (2026E guidance)	$6.85-6.95B	+13% vs FY25 $6.11B	Up
Core FFO/share (2026E, ex promote)	$8.15-8.20	Q2: $2.13, +14% YoY	Up
Signed backlog (record)	$1.9B / $1.4B share	+75% YTD	Up
Cash renewal spreads (Q2)	+25.4%	Record quarter	Up
Adj. EBITDA margin (2026E)	~55%	$3.75-3.85B guide	Stable
Net debt / Adj. EBITDA	4.7x	BBB/Baa2 rated	Strong

The moat

Scarcity premium: municipal moratoriums on new data center development constrain supply while AI demand grows. DLR's existing powered shells reprice higher, with cash renewal spreads hitting a record 25.4% in Q2 2026.

The growth engine

AI and hyperscale demand: $307M of Q2 bookings at 100% share ($208M at DLR share), two post-quarter hyperscale leases worth $410M annualized GAAP rent at 100% share, and 1.4 GW of development under construction.

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Three scenarios make the valuation range explicit

Three scenarios, weighted 25% / 50% / 25% into the blended target.

SCENARIO	WEIGHT	2027–31 CAGR	2031 REVENUE	2031 EBITDA MARGIN	TARGET	UPSIDE
Bear	25%	4.0%	$8.39B	53.0%	**$143.97**	-16%
Base	50%	7.0%	$9.68B	56.0%	**$179.01**	+4%
Bull	25%	10.0%	$11.11B	58.0%	**$215.31**	+25%

Bear: downside case at $143.97 (-16%).

Base: central case at $179.01 (+4%).

Bull: upside case at $215.31 (+25%).

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The probability-blended target implies 4% upside

A 25% Bear / 50% Base / 25% Bull weighting implies +4% from the $172.08 reference price.

$179.32
BLENDED TARGET

The valuation uses a multi-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

Mechanics are explicit. The bridge runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

Valuation horizon	**2027-2031**
Live WACC	**8.77%**
Terminal growth	**2.5%**
Net debt	**$16.77B**
2031 FCF (Base)	**$4.31B**
10-year Treasury yield	**5.0%**
Beta	**1.01**
Equity risk premium	**3.7%**

BUY | $179.32 BLENDED TARGET | WEN

The reverse DCF: what the market prices in

Holding the base-case FCF margin flat, the market-implied revenue CAGR is 6.1%, between Bear (4%) and Base (7%) — cautious.

Reverse DCF sensitivity

Implied enterprise value and share price at each five-year revenue CAGR, with the base-case free cash flow margin held flat. The highlighted row sits nearest the market-implied CAGR.

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CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price
-20%	$18.8B	$50.64	+0%	$48.9B	$131.93	+20%	$112.7B	$303.91
-19%	$19.8B	$53.28	+1%	$51.2B	$137.94	+21%	$117.2B	$315.92
-18%	$20.8B	$56.04	+2%	$53.5B	$144.18	+22%	$121.8B	$328.32
-17%	$21.9B	$58.93	+3%	$55.9B	$150.65	+23%	$126.6B	$341.12
-16%	$23.0B	$61.95	+4%	$58.4B	$157.37	+24%	$131.5B	$354.33
-15%	$24.2B	$65.10	+5%	$61.0B	$164.34	+25%	$136.5B	$367.96
-14%	$25.4B	$68.39	**+6%**	**$63.6B**	**$171.56**	+26%	$141.7B	$382.01
-13%	$26.6B	$71.83	+7%	$66.4B	$179.05	+27%	$147.1B	$396.50
-12%	$28.0B	$75.41	+8%	$69.3B	$186.80	+28%	$152.6B	$411.44
-11%	$29.4B	$79.15	+9%	$72.3B	$194.84	+29%	$158.4B	$426.84
-10%	$30.8B	$83.05	+10%	$75.4B	$203.16	+30%	$164.2B	$442.71
-9%	$32.3B	$87.10	+11%	$78.6B	$211.78			
-8%	$33.9B	$91.33	+12%	$81.9B	$220.70			
-7%	$35.5B	$95.74	+13%	$85.3B	$229.93			
-6%	$37.2B	$100.32	+14%	$88.8B	$239.47			
-5%	$39.0B	$105.09	+15%	$92.5B	$249.35			
-4%	$40.8B	$110.05	+16%	$96.3B	$259.55			
-3%	$42.7B	$115.21	+17%	$100.2B	$270.10			
-2%	$44.7B	$120.57	+18%	$104.3B	$281.01			
-1%	$46.8B	$126.14	+19%	$108.4B	$292.27			

Terminal value share and terminal WACC

We disclose how much of each scenario value sits in the terminal year. Terminal value is 78.2% of Base equity value (Bear 77.1%, Bull 79.2%). The terminal WACC is 8.17% in Base (Bear 8.17%, Bull 8.17%), on a terminal beta of 0.85 (Bear 0.85, Bull 0.85).

Fair value across scenarios

Model fair value by year under each scenario, on the same paths the ticker page chart draws.

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SCENARIO	2026	2027	2028	2029	2030	2031
Bear	$143.97	$156.60	$161.98	$167.44	$172.97	$178.56
Base	$179.01	$194.71	$202.50	$210.22	$217.80	$225.19
Bull	$215.31	$234.19	$244.70	$254.97	$264.87	$274.24

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $179.32 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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The franchise deep dive

Scarcity premium: municipal moratoriums on new data center development constrain supply while AI demand grows. DLR's existing powered shells reprice higher, with cash renewal spreads hitting a record 25.4% in Q2 2026.

AI and hyperscale demand: $307M of Q2 bookings at 100% share ($208M at DLR share), two post-quarter hyperscale leases worth $410M annualized GAAP rent at 100% share, and 1.4 GW of development under construction.

Interconnection moat: record $108M of 0-1 MW plus interconnection bookings in Q2 ($20.5M pure interconnection). Interconnection revenue is high-margin, sticky, and hard to replicate.

Funding flexibility: $12B+ of remaining hyperscale development capacity via the JV platform and closed-end fund; net debt to adjusted EBITDA 4.7x (company-reported) with BBB/Baa2 ratings.

Revenue and margin trend

METRIC	FY22	FY23	FY24	FY25	FY26E
Revenue ($B)	4.69	5.48	5.55	6.11	6.90
Revenue growth %	n/a	17%	1%	10%	13%
Core FFO/share ($)	n/a	n/a	n/a	7.39	8.15-8.20
Adj. EBITDA ($B)	n/a	n/a	n/a	n/a	3.75-3.85

Valuation cross-check

DCF Base $179.01

~22× 2026 Core FFO guidance $8.15-8.20

Dividend yield 2.8%

DCF implies fair value modestly above the current price. The multiple is full for a REIT and the yield offers little cushion with the 10Y near 5.1%.

EQIX ~24× 2026 AFFO guidance

DLR ~22× 2026 Core FFO guidance

DLR trades at a slight discount to Equinix despite comparable AI exposure; the discount reflects heavier development capex intensity and recent ATM dilution.

DLR has historically traded ~18-22x FFO

Now at the high end of its historical range

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The premium reflects AI-driven demand, but it leaves no room for execution slips on the development pipeline.

What to monitor

Oct 29, 2026. Q3 2026 earnings. Consensus ~$1.76B revenue and ~$1.99 FFO/share; backlog conversion and renewal spreads in focus.

Ongoing. $1.4B signed-not-commenced backlog at DLR share (~30% of in-place data center rent) plus 1.4 GW under construction converting to revenue through 2027.

2027. Management sees confidence to extend double-digit core FFO per share growth runway into 2027 and beyond on backlog visibility.

Financial summary: income statement

YEAR	REVENUE	GROSS PROFIT	OPERATING INCOME	EBITDA
2021	$4.4B	—	$694M	—
2022	$4.7B	$2.7B	$662M	$2.3B
2023	$5.5B	$2.9B	$728M	$3.2B
2024	$5.6B	$3.0B	$757M	$2.9B
2025	$6.1B	$3.4B	$922M	$3.7B

Balance sheet

YEAR	TOTAL ASSETS	TOTAL LIABILITIES	TOTAL EQUITY	CASH
2021	$36.4B	$17.8B	$18.0B	$143M
2022	$41.5B	$21.9B	$19.6B	$142M
2023	$44.1B	$23.1B	$21.0B	$1.6B
2024	$45.3B	$22.1B	$23.2B	$3.9B
2025	$49.4B	$24.6B	$24.8B	$3.5B

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Cash flow

YEAR	OPERATING CF	CAPEX	FINANCING CF	FREE CF
2021	$1.7B	—	$-591M	—
2022	$1.7B	—	$3.0B	$1.7B
2023	$1.6B	—	$963M	$1.6B
2024	$2.3B	—	$2.1B	$2.3B
2025	$2.4B	—	$-487M	$2.4B

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $179.32 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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Agency risk score 22 of 100: high agency risk, the value-trap profile

The score follows the website's Executive Alignment & Agency Risk model: insider ownership up to 40 points, open-market Form 4 flow over the trailing six months up to 30, and pay-for-performance up to 30. Insiders hold 0.01% of shares outstanding. Form 4 filings over the trailing six months show $0 of open-market purchases against $38.8K of sales, a net flow of -$38.8K. One-year total shareholder return is -4.7% against CEO total pay of $6.90M (Mr. Andrew P. Power), which the model scores as SUB-OPTIMAL ALIGNMENT.

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AGENCY RISK SCORE, OF 100

The three components

COMPONENT	SCORE	WHAT THE SITE SHOWS
Insider Ownership (Skin in the Game)	2 / 40	0.01% of shares held by insiders
Form 4 Flow (Conviction Flow)	8 / 30	Buys $0 (0) vs sales $38.8K (1), net -$38.8K, trailing six months
Pay-for-Performance	12 / 30	SUB-OPTIMAL ALIGNMENT: Negative Shareholder Returns vs Static Executive Comp. 1Y TSR -4.7%; Mr. Andrew P. Power, President, CEO & Director, total pay $6.90M
Agency Risk Score	**22 / 100**	Regime: HIGH AGENCY RISK // VALUE TRAP

Recent Form 4 filings

DATE	FILER	RELATION	TYPE	SHARES	VALUE
2026-08-27	Patterson Mark R	Director	SELL	200	$38.8K

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SEC proxy audit

N/A. The weekly DEF 14A proxy pipeline holds no CD&A audit record for this ticker, so no audit findings are shown.

Methodology. This module reuses the website's Executive Alignment & Agency Risk model unchanged. Scores of 75 and above band as founder-mode, high conviction; 45 to 74 as balanced, typical corporate; below 45 as high agency risk. Inputs are the same feeds behind the site model (Yahoo Finance insider holdings, Form 4 transactions and executive compensation) plus the SEC DEF 14A CD&A audit from the weekly proxy pipeline. Computed 23 October 2026 for this note.

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The bear case

Funding and dilution

2026 development capex guidance of $4.25-4.75B (net of partner contributions) is funded partly by equity: 13.5M ATM shares ($2.5B) sold in H1 2026. Continued dilution would drag per-share growth.

Development execution and power

1.4 GW under construction must be delivered on time with secured power. Municipal pushback on grid strain and water usage, the same dynamic driving the scarcity premium, can also delay DLR's own pipeline.

Rate sensitivity

At ~22× 2026 core FFO with the 10Y near 5.1%, the REIT multiple is rate-sensitive. A higher-for-longer rate regime would compress the valuation even if operations deliver.

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The strengths

Operating Quality

Largest wholesale data center REIT with ~55% adjusted EBITDA margins and an investment-grade balance sheet (4.7x leverage, BBB/Baa2). Record $1.9B backlog and 1.4 GW under construction show the platform compounding. Dividend $4.88/share covered 1.7x by core FFO.

Recent Trend

Q2 2026 beat across revenue, EBITDA, and core FFO with guidance raised twice this year. Core FFO per share ex promote grew 14% YoY, cash renewal spreads hit a record 25.4%, and backlog grew 75% year-to-date. Two straight years of double-digit core FFO growth.

Forward Growth

Base case 7% revenue CAGR is credible: backlog at ~30% of in-place rent, 1.4 GW pipeline, and management's stated confidence in extending double-digit FFO growth into 2027. Offset: growth is funded by $4.25-4.75B of 2026 development capex and 13.5M of ATM shares ($2.5B) sold in H1 2026.

Valuation

DCF base $179.01 vs $172.08 spot implies fair value modestly above spot, only a thin margin of safety. At ~22× 2026 core FFO guidance the multiple is full for a REIT, and the 2.8% dividend yield offers little cushion if the 10Y stays near 5.1%.

Cascadia scorecard

Composite score 69: Attractive. Confidence High, as of 2026-10-18.

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PILLAR	RATIONALE	SCORE
Operating Quality	Largest wholesale data center REIT with ~55% adjusted EBITDA margins and an investment-grade balance sheet (4.7x leverage, BBB/Baa2). Record $1.9B backlog and 1.4 GW under construction show the platform compounding. Dividend $4.88/share covered 1.7x by core FFO.	78
Recent Trend	Q2 2026 beat across revenue, EBITDA, and core FFO with guidance raised twice this year. Core FFO per share ex promote grew 14% YoY, cash renewal spreads hit a record 25.4%, and backlog grew 75% year-to-date. Two straight years of double-digit core FFO growth.	80
Forward Growth	Base case 7% revenue CAGR is credible: backlog at ~30% of in-place rent, 1.4 GW pipeline, and management's stated confidence in extending double-digit FFO growth into 2027. Offset: growth is funded by $4.25-4.75B of 2026 development capex and 13.5M of ATM shares ($2.5B) sold in H1 2026.	75
Valuation	DCF base $179.01 vs $172.08 spot implies fair value modestly above spot, only a thin margin of safety. At ~22× 2026 core FFO guidance the multiple is full for a REIT, and the 2.8% dividend yield offers little cushion if the 10Y stays near 5.1%.	50
Catalysts & Risk	Q3 print on Oct 29 is the near-term swing factor. Key risks: development execution and funding (heavy capex plus ATM dilution), power and permitting delays on the pipeline, hyperscale customer concentration, and rate sensitivity of the REIT multiple.	65

Investment view

The Oct 29 Q3 print is the swing factor: another beat-and-raise with backlog growth would support the Bull case toward $215, while a funding-heavy print with more ATM dilution or power delays on the pipeline would push toward the $144 Bear case. Sustained renewal spreads above 10% would lift Forward Growth and Valuation.

Investment view: Buy. The $179.32 blended target implies +4%, balancing the $143.97 / $179.01 / $215.31 Bear / Base / Bull outcomes.

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